

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

Chapter 8

THEORY OF PRODUCTION

MEANING OF PRODUCTION

Wants surrounded man since the beginning of human life on this earth. Man endeavored to achieve goods and services for the satisfaction of his wants and needs. His non-economic wants such as sun light, rain, air etc. were fulfilled without any efforts and for this he has to pay no price. But his economic wants require efforts and for which he has to pay price as well. This requires his active participation in economic activity and this is called "Production Process".

It is commonly believed that man by his efforts created utility in the resources given to him by nature which is called "Production Process." However, merely creating utility in goods can not be called production unless accompanied by value in the goods. So, utility with value generate rewards which determine the price of the goods such as cultivating crops by the farmer, house construction by worker etc.

Besides goods, some factors render services, which satisfy human wants e.g. teaching by a teacher, treatment by a doctor, singing by a singer etc. are taken by paying prices. This is also included in production. So, production is a process by which factors and resources are converted which are used for final consumption or as input for further investments. It involves following steps.

1. CHANGE OF FORMATION

Change of formation changes value and utility of goods e.g. when wood is converted into furniture or clay is converted into bricks, their value increases.

2. CHANGE OF PLACE

Change of place also increases or decreases the value of utility of goods e.g. sugarcane when taken from fields to sugar mills etc.

3. CHANGE IN TIME PERIOD

Time period also affects the value of the goods and services. Storage of vegetables increases their value when sold out of seasons. Similarly, as a person becomes more senior, his experience is counted in services.

FACTORS OF PRODUCTION

The following four factors are combined in a certain proportion to produce a good.

(i) Land (ii) Labour (iii) Capital (iv) Organization

Now each factor is described in detail.

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LAND

When we assume land as a factor of production it includes not only what is on the surface but also beneath the earth. So all the natural gifts and resources on the surface and under the surface of land such as Mountains, Forests, Minerals, Rivers etc. are included in land.

According to Marshall "Land means all the natural resources such as Light, Air, Water which are used for the welfare of the human beings and are free gift of nature."

CHARACTERISTICS OF LAND

Ricardo has enlisted following features of land.

1. FREE GIFT OF NATURE

Land is a "free gift" of nature it has no cost of production.

2. LIMITED IN SUPPLY

Man cannot change the size of the earth. However, he can change the utility of land by changing its fertility.

3. DIFFERENCE IN FERTILITY

Land differs in fertility, according to the nature of soil and geographical conditions.

4. DIFFERENCE IN VALUE

Lands closer to roads, cities and urban areas generally have greater value as compared to lands in the far-flung areas.

5. LACK OF GEOGRAPHICAL MOBILITY

Land cannot be shifted from one place to another. However its ownership and rent may be transferred from one place to the other place.

6. UN-DESTRUCTIVE POWER

Land is a durable factor. Its productive capacity may decrease but cannot be destroyed permanently. Its fertility may again be achieved by toil and hardwork.

7. BASIC FACTOR OF PRODUCTION

Without land it is impossible to produce anything. So, land is indispensable factor of production.

8. DECREASING RETURN

If, land is fixed and factors are continuously combined with it, then "decreasing returns" set in rapidly.

9. LIMITED FERTILITY

If, land is brought under intensive cultivation its fertility diminishes unless fertilizers and other manures are added.

IMPORTANCE OF LAND

Importance of land may be judged as under:

1. FOOD PRODUCTION

Land is the basic factor which is used in the production of food and fodder for man

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and other species.

2. HOUSING FACILITIES

It provides shelter to man and other species according to their requirements and economic activities.

3. ECONOMIC GROWTH

It is the basic unit for determining economic growth. A country with fertile land and highly enriched with the natural resources is a great source of economic growth for that country.

4. MEANS FOR TRANSPORTATION

A land locked country can not develop rail-road link with the other countries. So land availability can link a country through rail and road.

INTENSIVE AND EXTENSIVE USES OF LAND

The food requirements of a country can be fulfilled by utilizing land in two ways.

- (i) Extensive Cultivation
- (ii) Intensive Cultivation

EXTENSIVE USE OF LAND

Under this method more and more areas of land are brought under cultivation in order to increase production. A land is used until its production equals its cost. So, the land which covers its cost only is called "Marginal Land" If, there are four categories of land according to fertility as shown in table

Category	Output Q	Value = (P.Q) P = 100 Rs	Cost
A	20	2000	1000
B	15	1500	1000
C	12	1200	1000
D	10	1000	1000

If, price of output per mound is Rs.100 then category D of land is marginal land because its value of output is exactly equal to its cost.

INTENSIVE USE OF LAND

If, a country is facing a dearth of fertile land then production can not be increased by increasing the area of land under cultivation. In such cases the fertile pieces of land are frequently cultivated, this is called "intensive use of land." So, the law of diminishing returns readily apply in this method. This method may relate to short run where as extensive method is called long-run production process. To explain further it is assumed that

- (a) All fertile lands are under cultivation.

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- (b) Intensive cultivation is made
 (c) Production is under diminishing returns
 (d) The cost of one unit of labour / capital is equal to 10 mound, of output

Units of Labour / Capital	Marginal Productivity of different Pieces of Land			
	A	B	C	D
1	20	15	12	10
2	15	12	10	8
3	12	10	8	6
4	10	8	6	4
5	8	6	4	2

According to table on category A of land four units of labour / capital will be used and total output = $20+15+12+10=57$. Where, total cost = $4 \times 10 = 40$ mound. The difference $57-40=17$ mound is called rent of land A. Similarly, on land B three units of labour / capital are used where as total output = $15+12+10=37$ mound but total cost = $3 \times 10 = 30$ mound. Here, $TR-TC = 37 - 30 = 7$ mounds is the rent of land B. Total out put of land C = $12 + 10 = 22$ total cost is = $10 \times 2 = 20$ rent is = $22 - 20 = 2$ mound. Hence, land D is called marginal land because its $TR = TC$ which is $10 = 10$. Hence, it generates no rent. It is also known as "no rent land".

FACTORS INFLUENCING THE PRODUCTIVITY OF LAND

1- NATURAL FACTORS

These are following

(i) Physical Characteristics

By nature some pieces of land are more fertile than others depending upon climatic and geographical location.

(ii) Rainfall

Some lands are dependents on rain for cultivation. Generally rainfall improves the fertility and quality of land.

(iii) Climatic changes

Climatic changes also effects the productivity and fertility of land. Lands situated in hot climate are suitable for producing wheat, mangoes etc.

(iv) Texture of land

Deserted land is suitable for the production of Barely and beans whereas, the plain and soft land is best for rice and cotton.

(2) HUMAN ELEMENT

Productivity and fertility of land can also be enhanced by human efforts. It is the man who adds value to the land. So, barren lands can be converted into fertile land through human

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efforts.

(3) FERTILIZERS AND SEEDS

Addition of manures and fertilizers greatly effect the fertility and productivity of land. Standard seeds also contribute towards increase in product.

(4) USE OF CAPITAL AND TECHNOLOGY.

Mechanization, with latest technology can greatly increase the productivity of land. Replacement of old technology with new one increase productive capacity of land such as use of tractors, bulldozer, harvester etc.

(5) MEANS OF TRANSPORTATION

Land nearer to urban areas or easily accessible to roads have greater value than those in remote and deserted areas.

(6) IRRIGATION FACILITIES

Lands with irrigation facilities are more productive than without it. Lands nearer to water inputs are endowed with fertility.

(7) CREDIT AVAILABILITY

If, credit is easily available then it can augment the fertility of land by utilizing more efficient technology.

(8) WATER LOGGING AND SALINITY

If, water logging and salinity exist then land becomes unproductive. If land is free from such deseases then it's fertility greatly increases.

LABOUR (HUMAN RESOURCES)

In economics by labour we mean any physical or mental work or effort for which the labourer receives material or financial reward. So, any physical or mental work done for reward is called "Labour". Such as workers of a factory, mechanic of car or automobile. Teaching of teacher, etc. So the reward can be in kind or cash.

According to Eastham:

"Labour includes all such human efforts for which rewards are paid which can be in the form of wage or some valuable tradable goods."

So definition of labour includes three key points.

1. HUMAN EFFORTS

Only human efforts are valued as labour. Efforts of other species such as bafflow horse, mules and of machines and tools are not counted as labour.

2. BOTH MENTAL OR PHYSICAL EFFORTS

It includes both mental efforts as well as physical efforts. Such as services of a Teacher, Doctor, Judge, or Field Worker , weaver, labourer etc.

3. MATERIAL PAYMENT

It does not include service which is done without any reward such as Hobbies including gardening, painting, polishing own shoes etc.

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CHARACTERISTICS OF LABOUR

(I) LABOR & LABOURER CAN NOT BE SEPARATED.

Labour is a skill which labourers possess. So, labour can not be separated from labourer. It can only be hired.

(II) LABOUR CANNOT BE STORED

Labour cannot be stored. Once wasted can not be regained. The time which a labourer spent in idleness can not be utilized again for work.

(III) WEAK BARGAINING POWER

As labour can not be stored, so lest it waste labour generally agrees to accept lower wages.

(IV) UN-USED LABOUR IS PERISHED

If, labour spent his time in leisure without doing any productive activity then labour is wasted and once wasted can not be regained.

(V) DIFFERENCE IN EFFICIENCY

Nature has endowed man with different skills and abilities, so labour differs in efficiency. More efficient receive more wage and vice versa.

(VI) LABOUR SELLS HIS SERVICES NOT HIMSELF.

When a firm hires a labour it hires his services not labourer himself.

(VII) SUPPLY OF LABOUR IS INELASTIC IN SHORT-RUN

Supply of labour can only be increased in the long run with the growth of the population. Similarly, labour of special skill can be made available after training and education.

FACTORS INFLUENCING PRODUCTIVITY OF LABOUR

(I) PHYSICAL HEALTH OF LABOURERS

Physically active and agile labourers can perform better than those physically weak. So, availability of medical facilities and nutrition valued food can enhance the efficiency of labourers.

(II) MENTAL ABILITY

Mentally slow or retarded labour results in low productivity

(III) MORAL VALUES

These greatly affect labour efficiency, productivity. Honest and hard working labourers are given preferential treatment everywhere whereas, dishonest and less efficient are disregarded.

(IV) WORKING ENVIRONMENT

If, the work environment is very conducive then labour productivity improves. If, all the facilities are provided to the working place then labourer feels comfortable during his duty of the job.

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(V) WORKING HOURS

If, rest hours or break is not given, the labourer may exhaust by continuous work which badly affect labourers efficiency.

(VI) PROMOTION OPPORTUNITIES

Encouragement to work by giving due promotion results in the better utilization of labour faculties. So, labour productivity increases if, promotions are made after due course of time.

(VII) EDUCATION AND TRAINING

These factors greatly enhance the efficiency of labourers, where as un-educated and untrained workers are less efficient.

(VIII) EMPLOYEE AND EMPLOYER RELATIONSHIP

Harmonious and cordial relationship between the employee and employer improves the quality and efficiency of labour.

(IX) WEATHER CONDITIONS

Hot and dusty climate reduces labour productivity whereas labour working in cool and moderate climate can work for longer hours and work efficiently.

(X) SPECIALIZATION AND DIVISION OF LABOUR

Specialization increases skill in specific area and increases efficiency of labour.

(XI) NATURE OF JOB AND TYPE OF EMPLOYMENT

If, labourer is permanently employed then the sense of security of job improves labourer's efficiency. If, worker is on contract basis he may be lethargic, disinterested and less efficient.

(XII) LEVEL OF WAGES

If, labourers are properly paid according to their skill, education and experience, then they work more efficiently.

(XIII) POLITICAL CONDITIONS

If, there is political stability then labourers feel secure and work efficiently. While, under uncertain political condition, labourers are upset and disturbed.

(XIV) FAMILY OR RACIAL QUALITIES

Race and family to which labourer belongs also determine inherited qualities and aptitude for work. Some races are physically strong while, others are mentally quick and sharp. Some are sluggish and dull.

(XV) USE OF OTHER FACTORS

Combination of other factors with labour is a major determinant of labour productivity. If other factors such as land, capital are not used properly then labour productivity is hampered.

MOBILITY OF LABOUR

The movement of labour from one place to another or from one profession to another is called mobility of labour. It is of several types

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1. GEOGRAPHICAL MOBILITY

Movement from one place and area to another is called Geographical mobility.

2. HORIZONTAL MOBILITY

The movement of labour from one profession to other on same status and salary is called horizontal mobility of labour. If a clerk of one department joins another department as a clerk then it is horizontal mobility.

3. VERTICAL MOBILITY

When position of labourer changes i.e. from clerk to officer, such a movement of labour is called "vertical mobility". It is also called "occupational mobility".

4. SOCIAL MOBILITY

The movement of labour from lower class to higher or elite class is called social mobility e.g. son of a shoe maker becoming a CSP officer etc.

FACTORS PROMOTING THE MOBILITY OF LABOUR

1. BETTER WORKING CONDITIONS

Movement of a labourer from one place or profession to another may be the better environment and working condition.

2. ATTRACTIVE PACKAGE

Better salary package or fringe benefits also encourage labour to move from one place or profession to another.

3. AVAILABILITY OF MORE OPPORTUNITIES

The prospects of growth and more opportunities encourage labourer to move from one profession and place to another.

4. PEACE AND SECURITY

Labours working on contract or temporary posts prefer to move for permanent jobs. Similarly, peaceful environment is better than uncertain and insecure place.

5. TRANSPORTATION AND COMMUNICATION

Fast means of transportation and communication is a greater source of labour mobility from those areas which are deprived from these facilities.

OBSTACLES / HURDLES IN LABOUR MOBILITY

1. CLIMATE CONDITIONS

Workers of extreme cool regions can not work in hot climate conditions and vice versa. Normal climate environment is conducive towards mobility of labour.

2. LANGUAGE BARRIER

Labour generally avoid to move to different regions due to non familiarity with the language.

3. DIFFERENCE IN CUSTOMS AND TRADITIONS

Cultural difference create great hurdles in the movement of labour.

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4. LEGAL BARRIERS

Different countries impose certain entry restrictions or scrutiny procedure which cause hurdle in the movement of labour.

5. POLITICAL CONDITIONS

If, political conditions are not stable then labour prefers to move from that region. Similarly, such disturbances cause hurdle in the movement of labour.

6. ETHNIC OR RACIAL DIFFERENCE

Labourers avoid to move to areas where they face ethnic and racial differences and do not have freedom to perform religious duties.

7. FAMILY LIMITATIONS

A labourer closely bonded with family, feels. It difficult to leave his family. So home sickness is also a big hurdle in this respect.

DIVISION OF LABOUR

When a labourer with a particular skill is assigned a particular task relating to his skill is called division of labor or specialization e.g. a MBBS doctor treat variety of patients but a specialist treat only those patients relating to his field. So, specialization improves quality and efficiency of labour

ADVANTAGES OF DIVISION OF LABOUR

1. IMPROVES SKILL

A labourer having a specific task to do, improves his skill in that area after gaining some experience.

2. TIME SAVING

As labourer has to do a single task again and again therefore, more worth is shown with a little time.

3. EFFICIENT USE OF RESOURCES

Division of labour or specialization help labourer to make the best use of resources. So, minimum resource are wasted and more are utilized.

4. INNOVATIONS AND INVENTIONS.

By having skill in special area labourer can find greater opportunities to invent or innovate in their area of interest.

5. INCREASE IN PRODUCTIVITY

Specialization or division of labour greatly increase the productive efficiency of labourer.

6. LARGE SCALE PRODUCTION

Specialization enables the firm to achieve economies of large scale production.

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DIS-ADVANTAGES OF DIVISION OF LABOUR

1. MONOTONY

By doing same type of work all the time, labourer becomes sick and less efficient.

2. RISK OF UNEMPLOYMENT

If, there is depression in a particular industry in which labour has developed his skill then he may face unemployment. As labour is specific in doing certain type of job he may not get employment elsewhere.

3. LACK OF CO-ORDINATION

Division of labour into difference of departments sometimes results in lack of cooperation, coordination which may cause hurdles in smooth functioning of production process.

CAPITAL

In economics by capital we mean that part of wealth which is used to produce further capital such as building, roads, tools, machines, bridges, airports, railway, power houses etc.

So, that part of wealth which directly satisfies human wants is not called capital but that part which is used to generate further income is called capital e.g. If a person buys a car for personal use then it is consumer good but if, he uses it as taxi for generating income then it becomes "Capital good."

According to Marshall,

"The whole accumulated wealth which is used as a factor of production is called capital".

Further.

"Capital consists of those kinds of wealth, other than free gifts of nature, which yield income." **Capital and other related concepts**

(I) CAPITAL AND MONEY

Money is used for the exchange of goods and services whereas, capital is used to generate further capital or income.

(II) CAPITAL AND INCOME

Income is that part of wealth which is received against any economic activity in a production process whereas, capital is that part of wealth invested for generating more income.

(III) CAPITAL AND WEALTH

Wealth combine three concepts (i) utility (ii) Scarcity (iii) Transferability

So, capital is a part of wealth.

(IV) LAND AND CAPITAL

Both are factors of production but

- (i) Land is a free gift of nature while capital is not.
- (ii) Land is fixed in supply but size of capital may be changed.
- (iii) Land is immovable, capital is moveable.
- (iv) Land is in-destructible whereas capital is not

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FORMS OF CAPITAL

Following is the categorical distribution of capital.

(I) WITH RESPECT TO OWNERSHIP

It can be divided into two concepts

(a) Public Capital

Common property of a nation is called public capital e.g. roads, railways, bridges etc.

(b) Private Capital

Capital owned by an individual is called private capital e.g. tools of farmer, mills, factories, and private money balances.

(II) WITH RESPECT TO GEOGRAPHY

(a) Domestic Capital

Capital produced by the residents of a country is called domestic capital.

(b) Foreign Capital

The capital that is received from foreign sources is called foreign capital

(III) WITH RESPECT OF USE

(a) Sunk Capital

The capital that is once used and can not be converted back into its original form or some other forms is called sunk capital. So sunk capital is that which is used for the production of one good or service only e.g. Dams, Roads, Ice Factory etc.

(b) Floating Capital

The capital that can be converted back to its original form or some other forms is called floating capital e.g. Bonds, Shares etc.

WITH RESPECT TO DURABILITY

(a) Fixed Capital

The capital which do not change its form during the production process but it depreciates slowly over time is called fixed capital such as buildings, plants, machinery, tools etc.

(b) Circulating Capital or Working Capital

The capital that is fully transformed during the production process. Its value is fully recovered after the sale of product in which it is used e.g. Raw material etc.

WITH RESPECT TO PAYMENTS

(a) Auxiliary Capital

Which helps labourers during production e.g. tools and machines.

(b) Remunerative Capital

Capital paid up in the form of wages is called remunerative capital.

WITH RESPECT TO TANGIBLE AND INTANGIBLE

(a) Material Capital

Material form of the capital is tangible e.g. tools, factories, roads etc.

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(b) Human Capital

Human capital such as skill and abilities which a person acquires education and training is called human capital. It is intangible capital e.g. skill of teacher to teach, voice of a singer, competency of a doctor.

WITH RESPECT TO PRODUCTIVE CAPACITY

(a) Productive Capital

Capital which enhances the productive efficiency during production process.

(b) Consumptive Capital

The capital that is not directly utilized in the production process but without which no production process can be completed is called consumptive capital.

FUNCTIONS OF CAPITAL

Following are major functions of capital.

(I) PROVISION OF MACHINES AND TOOLS

Capital helps labourer in many ways. The use of tools and machines increase productivity of labour

(II) PURCHASE OF RAW MATERIAL

Capital is used to buy raw material required for manufacturing required products e.g. sugarcane for sugar etc.

(III) BUILDING FOR PLANTS

It is a fixed capital without it nothing can be produced. It includes land also upon which industrial or commercial units are constructed.

(IV) LATEST TECHNOLOGY

Capital helps to use latest technology which enhances productivity.

(V) TRANSPORTATION FACILITIES

Rail, road, bridges are used to bring finished goods to the markets while labourers and raw material etc are brought to factories.

(VI) PAYMENT OF WAGES

Floating capital is used to pay wages and rewards to different factors.

(VII) PROVISION FOR MARKETING

Capital is required for Advertisement, transportation and other expenses. Marketing is an integral part of production process which is not possible without capital.

(VIII) VALUE ADDED GOODS

Capital is used for value addition at different level of production process.

IMPORTANCE OF CAPITAL

In modern age capital has gained special importance in economic activities as "blood circulation in human body".

(I) UTILIZATION OF NATURAL RESOURCES

Without capital it is not possible to explore natural resources and make the best use of those resources.

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(II) ECONOMIES OF SCALE

Large scale production is not possible without the capital availability.

(III) ECONOMIC DEVELOPMENT

Capital availability is the pre-request for economic development. The main reason for under-development of most LDCs is dearth of capital. That's why they are heavily dependent on IMF, World Bank and other foreign resources.

(IV) INCREASE IN PRODUCTIVE EFFICIENCY

Tools and machines increase labour efficiency many times more than in the absence of these tools. So, capital makes best use of resources and time.

(V) DECREASE IN COST OF PRODUCTION

Latest technology results in more output and less cost, this is only made possible by capital availability.

(VI) SPECIALIZATION

Division of production process into different sections and sub-sections is only possible because of capital available in large quantities.

(VII) INNOVATION AND INVENTIONS

Research and development is only possible by capital abundance which leads to new technological innovations causing lower cost and high output.

FACTORS AFFECTING EFFICIENCY OF CAPITAL

Following factors affect efficiency of capital.

(I) OPTIMUM COMBINATION OF FACTORS OF PRODUCTION

If, capital is used in accurate proportion with other factors the efficiency of capital increases many times.

(II) TRAINED AND SKILLED LABOUR

If, labourer are perfectly trained and educated for the use of particular machines and tools then more output can be obtained with a little waste of material.

(III) QUALITY OF RAW MATERIAL

Quality of raw material effects the functioning of machines and tools. A low quality input may damage efficiency of capital.

(IV) ENTREPRENEURIAL ABILITY

Efficient manager knows how and where to use available capital. Lethargic and inefficient manager may waste both time and resources.

(V) WORKSHOP AND REPAIR CENTRES

If, machines and tools are properly maintained then life and efficiency of capital may increase many times. So, timely repair and availability of workshops improve capital efficiency.

(VI) RESEARCH AND DEVELOPMENT

Research improves ways to use capital and machines which increase capital efficiency.

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(VII) MOBILITY OF CAPITAL

If capital is perfectly mobile within and outside the country then its' efficiency can be increased by moving it in suitable and required place where it can fetch high reward.

CAPITAL FORMATION AND IT'S SOURCES

Increase in the existing stock of real capital in a country is called "capital formation." For example, increase in the new factories, roads, dams, bridges, etc.

So, for this purpose savings and investments are necessary. Thus generation of savings and the investing those savings into production activity is called capital formation. Hence, the process of capital formation stresses upon following three steps.

(A) CREATION OF SAVING

For this purpose; it is necessary to encourage people to save more level of saving depends upon the level of incomes of the people, and distribution of wealth. Higher the level of income, the higher may be the level of savings.

(B) MOBILIZATION OF SAVING

It requires existence of such financial institutions which can use or channelize these savings into some productive activities.

(C) INVESTMENT OF SAVING IN REAL CAPITAL

The most important step in the capital formation is the investment of saving in real capital e.g. creation of new building, roads, factories etc. Capital formation can be of either type i.e. material capital formation or human capital formation.

Capital formation can be done or financed by either domestic sources or foreign sources. Domestic sources include domestic savings. Whereas foreign sources include Foreign aid, loan, foreign investment and foreign remittances.

Now we discuss briefly the problems of capital formation in Pakistan.

CAUSES OF LOW RATE OF CAPITAL FORMATION IN PAKISTAN.

1. Savings are 15% of GNP whereas. It is 25% in the developed countries.
2. In rural areas people hoard money rather keeping it with financial institutions in the form of saving.
3. People prefer to convert savings into gold and silver.
4. High capital-output ratio.
5. Lack of effective financial institutions.
6. Un-organized capital and money markets.
7. Immobility of factors of production.
8. Lack of entrepreneurial abilities.
9. Lack of latest technology.
10. Lack of infrastructure.
11. Increasing population as compared to resources.
12. High inflation rate.
13. High tax rate
14. Demonstration effect.

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WAYS TO INCREASE CAPITAL FORMATION IN PAKISTAN

1. INCREASE IN SAVINGS.

More savings can be generated by following steps.

- (a) To organize money and capital market, so that; shares and bonds price do not fluctuate randomly.
- (b) Organization of banks and insurance companies on modern basis.
- (c) Introducing new and attractive saving schemes.
- (d) Making attractive investment opportunities.
- (e) Equal distribution of wealth may increase saving.

2. UTILIZATION OF HOARDINGS

Almost 3/4 of total population resides in rural areas in Pakistan and 57% of total population is literate. Most of these people hold their savings in the form of hoarding. Almost 3% of GNP is held as hoardings. If, banking facilities are offered in rural areas then it may increase saving many times.

3. THROUGH TAXES

Through taxes govt. can force people to save more.

4. THROUGH LOANS

Capital formation can be speed up by internal or external sources. So, by borrowing from internal sources or from foreign sources capital formation can be increased.

5. THROUGH DEFICIT FINANCING.

If, required. Govt. can form capital by printing notes without guarantee, known "as deficit financing".

6. UTILIZATION OF SURPLUS LABOUR

About 20% of disguised unemployment is present in Agriculture sector. This surplus labour can be utilized to increase capital formation.

7. FOREIGN AID AND LOANS.

If, internal sources are not sufficient to support investment then, foreign aid or loans could be obtained to speed up capital formation.

8. DECREASE IN IMPORTS

By encouraging "be Pakistani buy Pakistani" we may reduce our imports and may save more for capital formation.

ORGANIZATION

Entrepreneur is an entity who combines other factors of production in a certain proportion to produce goods or services. He is just like a captain of a ship who steer it from thick and thin and takes it safely to its destination. Hence, the main function of an organization or entrepreneur is to organize, combine, and create relationship between different factors so that; a specific amount of a good may be produced by joining them in a certain proportion.

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DIFFERENCE BETWEEN ENTREPRENEUR AND LABOUR

1. Wage of the labour is predetermined but not the profit of the entrepreneur.
2. Wage of the labourer can be low or high but cannot be zero whereas profit of entrepreneur can income be zero.
3. Wage is certain but profit of the entrepreneur is un-certain.

DIFFERENCE BETWEEN ENTREPRENEUR AND CAPITALIST

1. Capitalist provides capital only for which he receives certain profit whereas; entrepreneur runs and administer business.
2. Capitalist receives certain fixed proportion of profit whereas; reward of entrepreneur is not certain and fixed.

ROLE OF ENTREPRENEUR

1. Chalk out basic plan

Major role of the entrepreneur is to prepare the basic plan of what to produce, how to produce, where to produce etc. He is supposed to be very calculated, shrewd, decisive and prompt in decision making.

2. Achieve Optimum factors Combination

The objective of the entrepreneur is to achieve maximum profit which is possible only with least cost combinations of the factors of production and maximum output.

3. Management and supervisions

To look into the every detail of the project is the main responsibility and duty of the entrepreneur. Keen observation on every matter is the job of him.

4. Allocation of Rewards among Factors of Production

To give due reward to each factor according to his ability and skill is also main function of entrepreneur. So that; each factor may work efficiently on his job.

5. Innovations

According to Schumpeter, it is the main duty of entrepreneur to innovate latest techniques of production. Profit depends upon innovation.

6. Responsibility of Loss and Profit

Entrepreneur has to keep his eye on the future changes in business conditions. Any carelessness, lethargy and mis-under- standing may cause loss to business.

7. Selling of Goods

It is not the production alone but selling of good is also his responsibility. He must have active contacts in the market and must be well aware of changing market demand conditions.

8. Advertisement

He has to use different ways to advertise his product such as Newspaper, TV, Radio, Internet etc.

In today's competitive world these measure are very important to enhance the demand for commodity.

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FORMS OF BUSINESS ORGANIZATIONS.

Entrepreneur can perform his duties under different organizations which are as under:

- (i) Individual ownership.
- (ii) Partnership
- (iii) Co-operative societies
- (iv) Joint stock companies
- (v) State Enterprises.

Now we discuss them in detail.

INDIVIDUAL OWNERSHIP

In this system a single individual is the owner of the business. He is the financier, decision maker and sole proprietor of the business. He has complete authority of hire and fire. Following are it's characteristics.

- (i) It requires no legal documentation, nor it needs any registration.
- (ii) Finance is provided by the entrepreneur who is also the owner of the business but if, necessary he can borrow from friends and relatives.
- (iii) He himself takes decision regarding management of different plans.
- (iv) He himself is responsible for profit and loss in business.
- (v) If, there is some business dispute with other persons then legal process is initiated by the name of entrepreneur (owner)

PARTNERSHIP

When two or more persons jointly run a business under certain contract is called partnership. In this business liability of each partner is unlimited which means that if business faces loss then the compensation can be made by selling the private properties of the partners.

Sometimes, some partners do not play an active role in business but only provide finance. Such type partnership is called "sleeping partner".

Partnership has following characteristics

- (i) Agreement between the partners in written or oral form is the pre-request of the start of the business. If, any problem arises, it is resolved in the light of that agreement.
- (ii) The number of partner's can be minimum two and maximum twenty. But for banking partnership cannot be more than ten.
- (iii) Agreement can be regarding the production or distribution of goods.
- (iv) Profit and loss is the responsibility of all partners.
- (v) The liability of each partner is unlimited.
- (vi) There are different forms of partners.
 - (a) Active partner
 - (b) Sleeping partner
 - (c) Nominal partner
 - (d) Minor partners
 - (e) Senior partner
 - (f) Junior partner

CO-OPERATIVE SOCIETY

It is the type of organization in which people of the same profession or industry

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gether to achieve certain social or political objectives. They provide the capital jointly and themselves organize the business. Following are its' principles

(a) Democratic Pattern

Every member of the society has single vote and he is elected on democratic basis.

(b) Optional Membership

Every member can join or quit society whenever, he desires according to his own will.

(c) Moral uplifts

The objective of the society is not the economic betterment of its member only but also reformation of character.

CHARACTERISTICS OF CO-OPERATIVE SOCIETY

1. Every person can become its' member by purchasing one share.
2. Maximum number of society's members is 15. If necessary, society can cancel the membership on legal or reasonable grounds.
3. Membership fee, sale of shares and loans from the members are major sources of finance of the society.
4. Basic objective of the society is to increase socio-economic welfare of the members.
5. Shares of the members of society can be transferred from one member to another.
6. The main objective of the society is not profit earning but if, profit is incurred then it is distributed according to following principles.
 - (i) According to share of each member.
 - (ii) According to the value of goods purchased from the members.
7. Every member has single vote.
8. A committee is formed by the members to run the affairs of the society.
9. This society can be for the production of goods, consumption of goods or for providing loans.

JOINT STOCK COMPANY

In this type of organization many partners provide capital and distribute the profit accordingly. The minimum number of partners is seven. Before starting the business permission is taken from Govt. So, information regarding name of the company, objectives of its formation, limit for the finance and value of shares is provided to the Govt. before starting business. Here, the liabilities of the partners are limited. The selected persons of the share holders manage the business. Functioning of the company is not affected in case of the death or insanity of any of its members. Govt. can also purchase the shares of the company.

Company can raise its finance from following sources

- (i) By issue of shares
- (ii) By issue of Debentures.
- iii) By incorporating savings.

Shares can be preferred, deferred or ordinary.

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MANAGEMENT OF COMPANY

Share holders of the company are it's owners. As there is a large number of share holders so they elect some directors to run the affairs of the company. It is called "Board of Directors". All the decisions regarding policy making and control of company is made by board of directors. They can hire managers and other staff for smooth functioning of the company.

CHARACTERISTICS OF COMPANY

1. Separate entity

If any person has claims on any share holder of the company then he can take action against company not against that shareholder:

2. Large number of share holders

Minimum number of shareholders is seven whereas; maximum has no limit. Where as the number of shares holders in private limited company ranges from 2 – 50.

3. Issue of Shares

It can issue its share for general public whereas; private limited cannot.

4. Shares can be transferred

The share of the public limited company can be sold or bought easily from stock exchange whereas; shares can also be transferred from one to another person.

5. Limited Liability

The liability of the shareholder is limited to his share. He is not responsible for any claim beyond his share.

6. Large scale company

The company runs its business on large scale and funds can be generated by selling shares and debentures.

7. Can purchase property

Property can be purchased on the company's name and company can make agreement with other firms by it's name.

8. No change in type of business

Company cannot change the type of it's business without prior permission of the Govt.

9. Distribution of Profit

Whole of the profit earned is not distributed among it's shareholders but some of it is retained as "corporate profits" and deposited in the reserve fund of the company to meet some unforeseen emergencies or to expand business in future.

10. Permanent Body

Company can not be dissolved if, any of it's shareholder dies, becomes in-sane or becomes bankrupt, it continues its' business.

STATE ENTERPRISES

Those business organizations run by the state authorities for the general welfare of

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the masses is called state enterprises. These organizations run projects which require heavy input cost and are of long term e.g. Railways, Roads, Bridges, Steel mills, Dams etc. In Pakistan few scheduled commercial banks, insurance companies, Ghee Mills, Steel Mills comes under this category.

RELATIVE IMPORTANCE OF FACTORS OF PRODUCTION

There is no doubt that all the factors of production are necessary for the production of required goods and services. But their relative importance differs under different circumstances.

According to classical Economists land and labour are two basic factors while, capital and organization are of secondary importance. They considered organization as a part of the labour. So far as capital is concerned, according to them it is the result of "human efforts".

But now-a-days major changes in production techniques are visible which is the result of an improvement in the scientific and technical know how. Heavy plants and latest machines are used in production process which has become very complex. The demand for and importance of capital goods has been enhanced. Thus the role of capital and organization must be examined as independent and equally important factors.

We can examine the relative importance of the factors of production under two considerations:-

1. STAGES OF EVOLUTION OF ECONOMIC LIFE

It is clear that modern economic life of human beings is quite different than that of the old and primitive one. He has gone through different stages for this purpose. The human beings living in caves were dependent upon forest food and hunting of wild life. Thus land was considered the most important factor with labour after it. While capital and organization were given a very little importance at this stage. At the stage of settled life in villages and huts depending upon agriculture and allied occupations, labour gained more importance alongwith land. Capital in form of agriculture instruments e.g. plough, Furrows, cutter, etc.

Next stage was of occupational distribution, hand looms, cottage industries and small scale producing units. Here, capital gained more importance and some consideration to entrepreneur was also given. Modern scientific development and mechanical age has attached more importance to organization along with capital. Labour is also required in bulk on large scale production but the role of entrepreneur in production and business activities with respect to modern techniques, use of latest technology and capital goods, management duties, risk taking measures has become of paramount importance.

2. SECTORS OF THE ECONOMY:

Relative importance of the factors of production may also be assessed keeping in view their role in different sectors of the economy.

In Agriculture sector land is the most important factor. After it labour and then capital play their relative role, while organization is considered as a less important factor.

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In industrial sector capital and entrepreneurial abilities play the crucial role. While land's role is limited and labour is attached due importance.

With respect to means of transportation and communication capital plays the major role. While, organization is given the first priority in Trade, Banking, and other commercial institutions. After it capital and then labour and land play their role but of a little importance.

In the end we can say that with the passage of time and in view of socio economic and technical changes, different factors play different role in different sectors of the economy.

OBJECTIVE QUESTIONS

Select and tick (✓) Correct answer.

1. Which school of thought takes only labour and capital as most important factors in the production of a good.
(a) Classical (b) Neo-classical (c) Monetarist (d) Modern economists
2. Which one is the oldest and basic factor of production
(a) Land (b) Labour (c) Capital (d) Organization
3. Which factor of production includes forest, minerals, ocean, and mountains
(a) Land (b) Labour (c) Capital (d) Organization
4. A technique of production which requires more labour and less capital is called
(a) Land intensive (b) Labour intensive
(c) Capital Intensive (d) Innovated
5. Production function represents
(a) A firm (b) An industry
(c) Whole economy (d) All of the above
6. Which one of the following is not called land
(a) Tarbela Dam (b) Sui gas
(c) Climate of Murree (d) Rain water
7. Which method of production is used in highly populated areas of Pakistan.
(a) Extensive cultivation (b) Intensive cultivation
(c) By tenants (d) State farming
8. Which factor does not effect the productivity of land
(a) Rain (b) Seeds and fertilizers
(c) Irrigation facilities (d) Doctor's services
9. Which one is not included in labour
(a) Fee of lawyer (b) Work of labour
(c) Teaching to baby by mother (d) Work by house servants
10. Which one is included in labour
(a) Making shoe for himself by cobbler (b) Riding on personal horse
(c) Lifting goods by porter (d) Looking after sick parents.

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11. Which one of the following is not capital
(a) Terbela Dam (b) Gold neckless received in Dowry
(c) Motor way (d) Habib Bank Plaza
12. Which type of capital are raw material and machinery
(a) Non-material capital (b) Human capital
(c) International capital (d) Material capital
13. Point out capital goods
(a) Sugar mill (b) Iron of Drycleaner
(c) House T.V. (d) Carpet of drawing room
14. Joint stock company can raise funds by
(a) Selling shares (b) Creating savings
(c) Selling debentures (d) All of the above
15. Who controls the management of Pakistan Railway
(a) Provincial Govt. (b) Federal Govt.
(c) Pakistan Railway Board (d) Railway Corporation
16. The capital which can be used again and again is called
(a) Floating capital (b) Fixed capital
(c) Remunerative capital (d) Circulating Capital
17. Which factor has no pre-determined reward
(a) Land (b) Labour (c) Capital (d) Organization
18. Which factor has weaker bargaining power
(a) Farmer (b) Capitalist (c) Labour (d) Organization
19. Which sector of Pakistan facing disguised unemployment
(a) Agriculture (b) Industry (c) Trade (d) Media
20. Which form of capital can be used again and again.
(a) Fixed capital (b) Floating capital
(c) Remunerative capital (d) Sunk Capital
21. Which factor is geographically immobile
(a) Land (b) Labour (c) Capital (d) Organization
22. Which company can sale its shares in market
(a) Partnership (b) Pvt. Limited Company
(c) Public Limited Company (d) Co-operative Society
23. Sui gas is included in which resource
(a) Capital sources (b) Natural resource
(c) Financial resource (d) Public resource
24. What is population growth rate in Pakistan
(a) 2.3% (b) ? (c) 1.8% (d) 1.6%

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25. Buildings, Dams and Bridges are which type of capital
(a) Floating capital (b) Sunk capital
(c) Fixed capital (d) Personal ability capital
26. The liability of shareholders in joint stock company is
(a) Limited (b) Unlimited (c) Optional (d) Temporary
27. Membership of co-operative society is
(a) Permanent (b) Optimal (c) Compulsory (d) Forced
28. When WAPDA was established
(a) March, 1959 (b) February, 1961
(c) January, 1951 (d) November, 1957
29. Which of the following is personal ability capital
(a) Ice factory (b) Surgeon's expertise
(c) Voice of a singer (d) Railway expertise
30. Which factor plays more important role in Business.
(a) Technology (b) Entrepreneurs (c) Labour (d) Land

DESCRIPTIVE PART - I

SHORT NOTES

1. What is meant by production of wealth?

Production is a process by which factors and resources are converted which are used for final consumption or as input for further investments. Production of wheat, manufacturing of cloth, etc.

2. How many factors of production are?

There are four factors of production i.e. Land, Labor, Capital, Organization.

3. Explain "Production Function"?

Four Factors of Production are used in certain proportion in Production process.

$$Q = f(N, L, K, E)$$

N = Land

L = Labor

K = Capital

E = Entrepreneur

4. Explain three factors affecting productivity of land?

- (i) Natural factors, (soil of land, rain, weather etc.)
- (ii) Human elements, (mental or physical exertion)
- (iii) Fertilizers and seeds.

5. What is meant by intensive cultivation of land?

If, all fertile land are under cultivation, then frequent cultivation method is adopted to fulfill production requirement which is called intensive method.

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6. What is extensive cultivation of land?

Under this method more and more areas of land are brought under cultivation in order to increase production. Different categories of land A,B,C is brought under cultivation one by one.

7. Explain four characteristics of Land?

- 1) Free gift of nature
- 2) Limited in supply
- 3) Difference in fertility
- 4) Difference in situation and value

8. What is meant by labour?

Any physical or mental work or effort for which the labourer receives material or financial reward in cash form is called labour.

9. Explain four characteristics of labour?

- 1) Labour & Labourer cannot be separated
- 2) Labour cannot be stored.
- 3) Weak bargaining power
- 4) Difference in efficiency.

10. Explain the difference between wealth and capital?

By capital, we mean the part of wealth which is used to produce further wealth i.e. buildings, roads, tools, machines, etc. whereas anything which has three characteristics of utility, scarcity and transferability is called wealth.

11. Explain three factors affecting efficiency of capital?

- 1) Optimum combination of factors of production,
- 2) Trained and skilled labour
- 3) Quality of raw material.

12. Explain four functions of capital?

- 1) Provision of machines and tools
- 2) Purchase of raw material
- 3) Latest technology
- 4) Payment of wages to labourers
- 5) Rent and interest is paid

13. Give three ways to speed up capital formation process in Pakistan?

- 1) By organizing money and capital markets.

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- 2) Introducing new saving schemes.
- 3) Organization of banks and insurance companies on modern basis.

14. Explain three functions of entrepreneur?

- 1) To chalk out basic plan
- 2) To achieve optimum factors combination
- 3) Management and supervision.

15. What is meant by partnership?

When two or more persons jointly run a business under certain contract is called partnership.

16. What is co-operative society?

It is the type of organization in which people of the same profession or industry gather to achieve certain social and political objects. It may be in agriculture, business or housing sector.

17. Give four features of joint stock company?

- 1) Separate entity
- 2) Large number of share holders
- 3) Issue of shares
- 4) Large scale Company

18. Give names of three state owned enterprises?

- 1) Steel Mill
- 2) Pakistan Railways
- 3) PIA

19. Explain importance of land?

- 1) Source of Food production
- 2) Provision of housing facilities, means for transportation
- 3) Basic unit for determining economic growth.

20. Explain importance of capital?

Utilization of natural resources, large scale economics, economic development, increase in productive efficiency, specialization etc.

21. Explain capital Formation?

Increase in the existing stock of real capital in a country is called capital formation e.g. increase in new factories, roads, dams, bridges etc.

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22. Define joint Stock Company?

Large number of shareholders provides capital and share profit accordingly, affairs are run by some elected directors called "Board of directors"

23. What is meant by sleeping partners?

Sometimes some partners do not play an active role in business but only provide finance, such type of partnership is called sleeping partner.

PART – II

1. What is meant by factors of production explain their relative importance.
2. What is meant by land in economics. Explain its characteristics.
3. Explain the meaning of labour, describe it's characteristics.
4. Write note on the following
 - (a) Importance of labour
 - (b) Factors effecting productivity of labour
5. Define capital and describe it's different forms.
6. Explain the following
 - (a) Functions of capital
 - (b) Factors affecting marginal efficiency of capital
7. Why capital formation process is slow in Pakistan. How it can be speed up. Explain?
8. Describe the role and importance of entrepreneur in the production process.

